Mars (M&M) – Sample Commercial Terms and Contract Clauses

Document Version: 1.0

Region: United States

1. Scope of Agreement

Mars Wrigley (“Mars”) agrees to supply M&M’s confectionery products (“Products”) to the Retailer for resale within the United States. The Retailer agrees to stock, promote, and sell the Products through its physical and/or online locations in accordance with the terms of this Agreement.

2. Pricing

2.1 Price Basis

- Product prices are based on the prevailing price list shared by Mars.
- Prices may vary by product SKU, pack size, and channel.

2.2 Price Changes

- Mars reserves the right to adjust prices with at least 30 days’ written notice.
- Any ongoing promotions may be reviewed and adjusted in line with new cost structures.

3. Ordering and Delivery

3.1 Order Placement

- The Retailer may place orders via field sales representatives, EDI, B2B portal, or agreed ordering systems.
- Minimum order quantities and case sizes must be respected unless otherwise authorized.

3.2 Delivery

- Mars or its authorized distributor will use reasonable efforts to deliver within agreed lead times.

- Delivery dates are estimates and may be affected by logistics, supply constraints, or unforeseen events.

4. Payment Terms

4.1 Credit Period

- Standard payment terms are Net 30 days from invoice date, unless alternative terms are documented.

4.2 Late Payment

- Late payments may incur finance charges consistent with applicable law and Mars policy.

- Mars may suspend further deliveries in case of persistent non-payment.

5. Promotions and Marketing

5.1 Promotional Funding

- Any promotional funding, discounts, or rebates are conditional on agreed execution.

- Funding is considered temporary and specific to defined campaigns.

5.2 Merchandising and Displays

- The Retailer agrees to maintain appropriate shelf space and visibility for M&M's Products.

- Any use of the Mars or M&M's trademarks in store material or online requires prior written approval.

6. Returns, Damages, and Short-Dated Stock

6.1 Returns

- Returns must be pre-approved and accompanied by appropriate documentation.

- Unless otherwise agreed, the Retailer is responsible for return freight.

6.2 Damaged and Short-Dated Goods

- Damaged or short-dated goods may be eligible for credit based on inspection and Mars policies.

- Over-ordering by the Retailer, without Mars error, is generally not grounds for full credit.

7. Data Sharing and Confidentiality

7.1 Data Sharing

- The Retailer may be requested to share sell-out or inventory data to improve forecasting and joint business planning.

- Any data shared will be used in aggregate and according to confidentiality commitments.

7.2 Confidential Information

- Pricing, discounts, commercial structures, and business plans are confidential.

- Both parties agree not to disclose such information to third parties without consent, except as required by law.

8. Compliance and Audit Rights

8.1 Legal Compliance

- Both parties must comply with applicable laws and regulations, including food safety and labeling requirements.

8.2 Audit

- Mars reserves the right to audit promotional claims or funding usage within a reasonable period, upon prior notice.

9. Term and Termination

9.1 Term

- The Agreement remains in force for the period specified in the commercial contract or until terminated per clause 9.2.

9.2 Termination

- Either party may terminate the Agreement for material breach, insolvency, non-payment, or misuse of trademarks, subject to any cure periods detailed in the contract.

9.3 Post-Termination

- Outstanding payments remain due after termination.

- The Retailer shall cease using Mars trademarks except as permitted for liquidation of existing stock.

This document is a summary of typical commercial terms and does not replace any signed contractual agreement.